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China AI Foundation Model | Asia Pacific

What's New: GLM5.3 and DeepSeek V4 Series Price Increase

Key Takeaways

- Z.ai's GLM-5.3 launched with meaningful gains vs. GLM-5.2 in coding and cybersecurity. User feedback so far is positive.
- GLM-5.3 was only post-trained on the same GLM-5.2 base with 700+B total parameters, suggesting further intelligence headroom via post-train scaling.
- DeepSeek released the formal V4 series. However, V4 Pro received relatively negative feedback on long-horizon task and coding capabilities, with low stability.
- DeepSeek also more than doubled V4 pricing. After the increase, V4 Pro is no longer the cheapest flagship LLM in China.
- We read DeepSeek's price increase as positive for the China LLM industry. We remain bullish on Z.ai.

GLM-5.3: GLM-5.3 uses the same base model as GLM-5.2, but materially scales post-training, unlocking four notable upgrades: **1) Coding:** internal evaluations show a 50% improvement vs. GLM-5.2. **2) Cybersecurity:** new strength in white-box code auditing and vulnerability discovery. **3) Post-training scaling:** the gains come entirely from substantially longer and more diverse reinforcement learning, highlighting further intelligence headroom in the existing base model. **4) Open weight:** full model weights are scheduled for release in two weeks following safety hardening.

DeepSeek V4 series price increase: Blending trough and peak hour prices - V4 Pro: uncached input price +1.25x, cached input price +8x and output price + 2.38x. V4 flash: uncached input price +1.25x, cached input price +2.75x and output price + 2.38x.

Exhibit 1: China frontier LLM comparison

AI lab	Alibaba	MiniMax	Z.ai	Moonshot	DeepSeek		Xiaomi
Model	Qwen3.8-Max	M3	GLM-5.3	K3	V4-Pro	V4-flash	MiMoV2.5Pro
Release date	Aug-26	Jun-26	Aug-26	Jul-26	Aug-26	Jul-26	Apr-26
License	Open Weight	Open Weight	Open Weight	Open Weight	Open Weight	Open Weight	Open Weight
Total parameter (B)	2400	428	744	2800	1600	284	1000
Context window (K)	1000	1000	1000	1000	1000	1000	1000
API price (Rmb/mn tokens)							
Input (uncached)	12.00	3.15	n.a	20.00	6.75	2.25	3.00
Input (cached read)	1.50	0.63	n.a	2.00	0.23	0.08	0.03
Output	36.00	12.60	n.a	100.00	20.25	6.75	6.00
AA Intelligence Index	58	45	n.a	60	53	52	43

Source: Company data (DeepSeek price averaged with trough and peak hour price, taking the newly raised price effective since Aug 17), Artificial Analysis, Morgan Stanley Research

China AI Foundation Models: Intelligence War Over Price War (9 Aug 2026)

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GREATER CHINA IT SERVICES AND SOFTWARE

Asia Pacific
Industry View **In-Line**

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Valuation Methodology and Risks

Z.AI CO., LTD. (2513.HK)

We apply discounted cash flow (DCF) methodology to value the company, assuming a 15% WACC and 3% terminal growth. Our price target implies 42x P/S for 2027.

Risks to Upside

- Launching global SOTA model
- Global expansion working with overseas CSP
- Easing market competition

Risks to Downside

- Computing constraints
- Model performance lagging peers
- Geopolitical risk

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 2/20/26 : 0/I

Price Target History: 2/20/26 : 560; 4/28/26 : 990; 8/10/26 : 1700

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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Lydia Lin		
Beisen Holding Limited (9669.HK)	O (06/23/2025)	HK\$3.27
Chinasoft International Ltd (0354.HK)	U (05/04/2026)	HK\$3.48
Glodon Co. Ltd. (002410.SZ)	E (08/23/2023)	Rmb9.17
Hundsun Technologies Inc. (600570.SS)	U (04/07/2025)	Rmb22.12
Meitu Inc (1357.HK)	O (10/01/2024)	HK\$4.50
Yang Liu		
Beijing Kingsoft Office Software Inc (688111.SS)	U (08/26/2024)	Rmb256.45
Kingdee International Software Group (0268.HK)	O (08/03/2026)	HK\$7.85
Kingsoft Cloud Holdings (KC.O)	O (07/07/2026)	US\$11.71
Kingsoft Corp Ltd (3888.HK)	E (07/21/2025)	HK\$26.44
Sangfor Technologies Inc (300454.SZ)	E (07/05/2024)	Rmb124.07
Tuya Inc. (TUYA.N)	O (11/29/2023)	US\$1.82
Wangsu Science & Technology (300017.SZ)	U (11/12/2024)	Rmb17.33
Yonyou Network Technology Co Ltd (600588.SS)	U (11/12/2024)	Rmb11.65

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.